

GOVERNMENT OF INDIA
MINISTRY OF FINANCE
DEPARTMENT OF EXPENDITURE

F.No. 1/24/2026-PPD

Dated: 15th January, 2026

OFFICE MEMORANDUM

Subject: Revised Guidelines on Public Procurement and GeM Portal Thresholds under GFR 2017

CHAPTER I: PRELIMINARY MANDATES

Rule 149(i): Mandatory Direct Purchase on GeM

All Central Ministries, Departments, and Subordinate Offices shall procure goods and services available on the GeM Portal.

Rule 149(ii): L-1 Comparison Bidding

For procurements between ₹25,000 and ₹5,00,000, the buyer shall view at least three different manufacturers' quotations before placing an order.

CHAPTER II: PROPRIETARY & SOLE TENDER EXCEPTIONS

Rule 166: Proprietary Article Certificate (PAC) Purchase

Procurement from a single source may only be resorted to if the required item is manufactured exclusively by the

Section 7: Liquidated Damages & Contractual Penalties

In the event of vendor delivery delay, liquidated damages at 0.5% per week subject to a maximum of 10% of total